Downward Breakouts

	Bull Market
Reversal or continuation	Short-term bearish reversal
Performance rank	16 out of 36
Breakeven failure rate	22%
Average drop	15%
Volume trend	Downward
Pullbacks	66%
Percentage meeting price target	63%

The roof pattern is a rare gem that looks like a pyramid. *Gem* is the incorrect word because the performance of the 375 patterns (both bull and bear market patterns) I found is dismal. It has a 26% failure rate after upward breakouts in bull markets and an average rise of just 34%, ranking the pattern near the bottom of the list at 35 out of 39 patterns, where a rank of 1 is best. I even considered removing the pattern from the book because it's so rare. Downward breakouts show better performance with a rank of 16 out of 36 patterns.

When you see a roof, you might think it's a head-and-shoulders top. Indeed, a head-and-shoulders top can be a roof, but a roof may not be a head-and-shoulders top. The differences between a head-and-shoulders and a roof revolve around the inbound (leading to the pattern) and outbound price trend (after the breakout). To some of you, this may be a pa-tay-toe and pa-tah-toe thing. However, it's more complicated than that because the ideal roof doesn't have shoulders.

Let's take a tour of the pattern to see what a roof looks like.

Tour

I discovered the roof pattern in early 2005. I thought it looked like the top half of a diamond, but an acquaintance of mine called it a roof. The name fit, and it stuck.